



STAFF REPORT

Agency: City of Belmont
Staff Contact: Thomas Fil, Finance Director, (650) 595-7435, tfil@belmont.gov
Agenda Title: Annual Report on Development Impact Fees for Fiscal Year 2018
Agenda Action: Receive Report

Recommendation

Review and accept the Annual Report on Development Impact Fees for Fiscal Year 2018.

Background

State law, AB 1600 (Government Code Section 66006), requires that each local agency that imposes development impact fees prepare an annual report providing specific information about those fees. It codifies the legal requirement that fees on new development must have the proper nexus to any project on which they are imposed. In addition, AB 1600 imposes certain accounting and reporting requirements with respect to the fees collected.

Government Code Section 66006 contains comprehensive annual reporting requirements for development impact fees. This statute requires that, within 180 days after the close of the fiscal year, the agency that collected the fees must make available to the public the following information regarding each fund or account:

- Brief description of the type of fee in the fund.
- Amount of the fee.
- Beginning and ending balance in the fund.
- Amount of fees collected and interest earned.
- Identification of each public improvement on which fees were expended and the amount of the expenditure on each improvement, including the total percentage of the cost of the public improvement that was funded with fees.
- Identification of an approximate date by which the construction of a public improvement will commence, if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement.
- Description of each interfund transfer or loan made from the account or fund, including the public improvement on which the loaned funds will be expended, and in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.
- Amount of any refunds made due to inability to expend fees within the required time frame.

This report must also be reviewed by the City Council at a regularly scheduled public meeting not less than 15 days after the information is made available to the public. In addition, notice of the time and place

of the meeting shall be mailed at least 15 days prior to the meeting to any interested party who files a written request with the local agency for such a mailed notice. The annual report was posted to the City's website and made available for review at City Hall on December 10th in compliance with the notification requirements, and the City has not received any individual requests for information.

The law also provides that, for the fifth fiscal year following the first deposit into the fund and every five years thereafter, the local agency shall make findings with respect to any portion of the fee remaining unexpended, whether committed or uncommitted. The finding must:

- identify the purpose to which the fee is to be put;
- demonstrate a nexus between the fee and the purpose for which it was originally charged; and
- identify all sources and amounts of funding anticipated to complete financing of incomplete improvements along with the approximate dates on which the anticipated funding is expected to be deposited into the fund.

If the agency no longer needs the funds for the purposes collected, or if the agency fails to make required findings, or to perform certain administrative tasks prescribed by AB 1600, the agency may be required to refund to property owners a prorated portion of the monies collected for that project and any interest earned on those funds. The Belmont City Council does not need to make these findings for fiscal year 2017.

The City's independent auditor completed a Comprehensive Annual Financial Report for the fiscal year ending June 30, 2018, which was considered by the City Council on November 13, 2018. Funds collected for development impact fees were included in this audit review.

Analysis

In Fiscal Year 2018, the City of Belmont collected the following development fees that are subject to the requirements of AB 1600:

- *Park Impact Fees* – The purpose of park impact fees is to ensure that the City can construct park and recreation facilities needed for the population growth created by new development. See Attachment A for more information about this fee.
- *Housing Mitigation Fees* – The purpose of the housing mitigation fee is to mitigate the burdens created by new residential and non-residential development projects on the need for extremely low, very low, low, and moderate-income housing. See Attachment B for more information about this fee.

Alternatives

1. Direct staff to bring back additional impact fee information/analysis.

Attachments

- A. Annual Report on Park Impact Fees FY2018 (Fund 342)
- B. Annual Report on Housing Mitigation Fees FY2018 (Fund 277)

Fiscal Impact

- ☒ No Impact/Not Applicable
☐ Funding Source Confirmed:

Source:

- ☐ Council
☒ Staff
☐ Citizen Initiated
☐ Other

Purpose:

- ☒ Statutory/Contractual Requirement
☐ Council Vision/Priority
☐ Discretionary Action
☐ Plan Implementation

Public Outreach:

- ☒ Posting of Agenda
☒ Other*

* The Annual Report on Park Impact Fees was posted to the City's website and made available at City Hall for review at least 15 days prior to City Council review, as required by government code section 66006.

ATTACHMENT A

City of Belmont Annual Report on Park Impact Fees (Fund 342) Fiscal Year Ending June 30, 2018

Purpose and Authority for Collection

The purpose of park impact fees is to ensure that the City can construct park and recreation facilities needed for the population growth created by new development. Existing park and recreational facilities are insufficient in number, size, location, and the kinds of recreational opportunities which they present to meet the needs of both the City's existing and projected service population. The City's goal is to provide five acres of neighborhood and community park facilities for every one thousand new residents, consistent with the City's General Plan and the Park's and Open Space Master Plan. City Council Resolution 2014-148, adopted October 28, 2014, authorizes assessment of Park Impact Fees in connection with the issuance of any building permit for residential or non-residential development within the City of Belmont.

Fee Enactment	10/28/2014
Initial Fee Collection	FY 2017
Next AB-1600 Five Year Review	FY 2021

Amount of Fee

Residential Development (fee per dwelling unit):

Single-Family Detached Housing	\$5,409
Single-Family Attached Housing	\$4,806
Multifamily Housing	\$4,042
Second Dwelling Unit	\$2,011

Non-Residential Development (per square foot):

Retail/commerical	\$0.36
Office	\$0.52
Industrial	\$0.35
Hotel	\$0.36

BEGINNING BALANCE, 7/1/2017	\$318,886
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Revenues

Fees Collected	\$7,744
Interest Earned	\$4,942

TOTAL REVENUES	\$12,686
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Expenditures

None	0
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TOTAL EXPENDITURES	0
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Other Commitments/Appropriations	0
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Net Fund Balance Available, 6/30/18	\$331,572
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ATTACHMENT B

City of Belmont
Annual Report on Housing Impact Fees (Fund 277)
Fiscal Year Ending June 30, 2018

Purpose and Authority for Collection

The purpose of the housing mitigation fee is to mitigate the burdens created by new residential and non-residential development projects on the need for extremely low, very low, low, and moderate-income housing. All housing mitigation fees collected shall be deposited into the City's Affordable Housing Fund to be used to increase and preserve the supply of housing affordable to households of extremely low, very low, low, median, and moderate incomes (including necessary administrative costs). City Council Resolution 2017-005, adopted January 10, 2017, authorizes assessment of a Housing Impact Fee in connection with the issuance of any building permit for residential or non-residential development within the City of Belmont, consistent with the affordable housing goals, objectives, policies and programs of the City's Housing Element.

Fee Enactment	1/10/2017
Initial Fee Collection	FY 2018
Next AB-1600 Five Year Review	FY 2022

Amount of Fee

Residential Development (fee per dwelling unit):	
Single-Family Detached Housing	\$20.58
Single-Family Attached Housing	\$20.58
Multifamily Housing	\$20.58
Second Dwelling Unit	\$0.00
Non-Residential Development (per square foot):	
Retail/commercial	\$5.15
Office	\$12.35
Industrial	\$12.35
Hotel	\$4.12

BEGINNING BALANCE, 7/1/2017*	<u>\$2,429,528</u>
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Revenues

Fees Collected	\$88,824
Interest Earned	<u>\$27,972</u>

TOTAL REVENUES	<u><u>\$116,796</u></u>
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Expenditures

None	<u>\$0</u>
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TOTAL EXPENDITURES	<u><u>\$0</u></u>
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Other Commitments/Appropriations	<u>\$0</u>
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Net Fund Balance Available, 6/30/18	<u><u>\$2,546,324</u></u>
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* Includes Housing Funds collected from developers via project negotiations.